PRODUCT MANAGEMENT CLUB · IIT (ISM) DHANBAD
ASSIGNMENT 3

CIRCLES · AARRR · HEART

PART 1

CIRCLES Framework

Problem Statement: Design a feature for Spotify for students preparing for competitive exams (UPSC, JEE, CAT).

C — Comprehend the Situation

Define Spotify, its business goal, and constraints

What is Spotify

Spotify is a global digital audio streaming service that gives you on-demand access to millions of songs, podcasts, and audiobooks. It operates on a "freemium" model, meaning basic listening is free (with ads), while a paid subscription (Premium) offers ad-free listening, offline downloads, and higher audio quality.

Spotify has over **750 million monthly active users** worldwide. Of this total global audience, approximately **290 million** are paying premium subscribers who enjoy ad-free listening and offline access.

Business Goal

Spotify's goal is to maximize long-term user engagement by helping users discover and consume the most relevant audio content for their current context. Higher engagement drives retention, subscription conversion, and advertising revenue.

Business North Star

Total average monthly listening time is the North Star because it's the single number that converts directly into retention, conversion, and ad revenue. We track skip rate on recommended content as a supporting signal to confirm the engagement is being driven by relevant discovery, not just raw usage.

Constraints

1. Audio-First Platform

- Spotify's core product is audio consumption.

- Cannot introduce flashcards, note-taking, mock tests, or other visual study tools.

2. Must Leverage Existing Spotify Infrastructure

- Solution should primarily use Spotify's recommendation engine, playlists, audio metadata, social graph, and personalization systems.
- Should not require building an entirely new educational ecosystem.

3. Brand Alignment

- Spotify is a music and audio discovery platform, not an EdTech company.
- The feature must enhance listening experiences during studying rather than become a study-preparation product itself.

> Building a study feature is aligned with Spotify only if it enhances the listening experience during study sessions. The goal is not to help students study directly, but to use Spotify's recommendation and personalization capabilities to support long, uninterrupted focus sessions.

Assumptions

Existing Behaviour	18-28 Target Age Band	5-8 Study Block Length	Design Constraint
Aspirants already use lo-fi/ambient music on Spotify	Overlaps with exam aspirant demographic	Makes audio continuity genuinely valuable	No productivity feature or study tools

I Identify Users

Segment beyond students

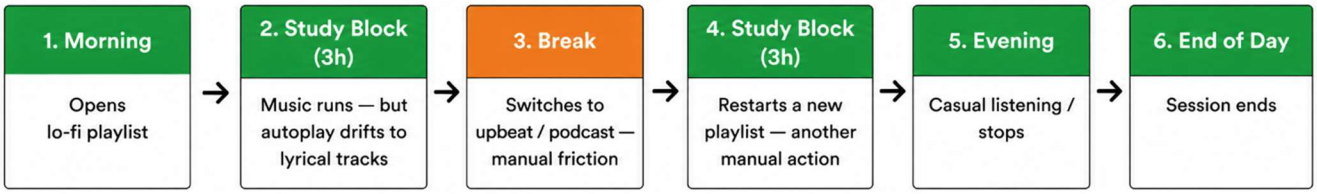
Segment	Profile	Pain Intensity	Strategic Value
Full-time UPSC aspirants	22–28 yrs, non-working, 8–10 hrs/day study	High: longest sessions, most disruption	Already on Spotify: deepen, not acquire
JEE droppers	17–19 yrs, coaching institutes, structured schedule	Medium: scheduled breaks, less self-directed	Younger, less Purchase Power for Premium
CAT working professionals	25–32 yrs, weekend study, fragmented sessions	Low: short sessions, lower frequency	Low frequency limits feature utility

> Chosen: Full-time UPSC aspirants. They have the longest, most consistent listening windows, already exhibit lo-fi study behaviour, and are reachable without new acquisition spend.

R Report Needs

User journey and pain points

Current Spotify Journey for UPSC Aspirant



PAIN POINTS

	Pain Point	Evidence	Spotify's Problem?
1	Recommendation Drift Breaks Focus	Spotify's Autoplay optimises variety, not continuity. A lo-fi queue routinely ends with a trending pop track.	Yes, Spotify's own algorithm
2	No Understanding of Study Intent	No 'session type' input exists. A 3-hr study block and a 3-min commute trigger the same recommendation logic.	Yes, addressable via session mode
3	Long Sessions Require Repeated Manual Intervention	Most focus playlists are shorter than a full study day. Users must repeatedly search, switch, or restart playlists, breaking their flow state.	Yes, queue/playlist system
4	Ads interrupt deep work at unpredictable moments	Free-tier ads fire every 15 min regardless of listening context. Mid-study interruption >> mid-commute interruption.	Partially, timing control in scope

C Cut Priorities

Impact × Frequency ranking

PRIORITISATION MATRIX

Pain Point	Impact (1–5)	Frequency (1–5)	Score	Rank
Recommendation drift mid-session	4	5	20	2
No session-type awareness	4	4	16	3
Playlist exhaustion	3	3	9	4
Ad timing	5	5	25	1

Core Problem: Spotify is not optimized for long study sessions. Ad interruptions and recommendation drift repeatedly break user concentration, reducing focus continuity for exam aspirants.

L List Solutions

Spotify feature ideas

Feature	Description
Study Mode Toggle	A dedicated mode that recognizes study sessions and prioritizes instrumental, low-distraction audio while reducing recommendation drift.
Smart Ad Scheduling	Instead of interrupting randomly, ads are clustered near natural breakpoints between study blocks, reducing focus disruption while preserving revenue.
Session Memory	Learns which tracks, playlists, and audio characteristics help a user maintain long focus sessions and prioritizes them in future study sessions.
Focus Streak	Tracks uninterrupted listening (no skip, no pause >2 min) as a study streak.
Study Blend	Creates a collaborative study playlist using the listening patterns of a study group, helping users discover effective focus tracks.

E Evaluate

Kano Model + RICE Scores

KANO CLASSIFICATION

Study Mode Toggle	Smart Ad Scheduling	Study Blend	Focus Streak	Session Memory
Basic	Basic	Delighter	Delighter	Performance
Its absence feels like a gap once announced	Users expect fewer interruptions during focus sessions; random ad breaks create dissatisfaction.	Unexpected social layer on study music	Gamification inside a music app = surprise delight	Better personalization leads to better focus continuity and higher user satisfaction.

RICE SCORES

Feature	Reach(1-10)	Impact(1-5)	Confidence	Effort	RICE Score
Study Mode Toggle	9	5	85	2	19.2
Smart Ad Scheduling	8	4	75	3	8
Session Memory	6	3	70	4	3.2

Justification

Study Mode Toggle (RICE = 19.2)

- Reach = 9: Relevant to most exam aspirants using Spotify while studying.
- Impact = 5: Directly reduces recommendation drift and improves focus continuity.
- Confidence = 85: Builds on Spotify's existing recommendation infrastructure.
- Effort = 2: Requires limited changes to current recommendation logic.

Smart Ad Scheduling (RICE = 8.0)

- Reach = 8: Benefits a large portion of free-tier student users.
- Impact = 4: Reduces disruptive ad interruptions during study sessions.
- Confidence = 75: Effectiveness depends on accurately identifying study breakpoints.
- Effort = 3: Requires coordination between ad delivery and session context.

Session Memory (RICE = 3.2)

- Reach = 6: Valuable mainly for users with repeated study sessions.
- Impact = 3: Improves personalization but does not directly eliminate interruptions.
- Confidence = 70: Study preferences vary across users.
- Effort = 4: Requires additional learning models and user behavior tracking.

S Summary

Recommendation · Tradeoff · North Star Metric

Recommendation

Build Study Mode Toggle. It directly addresses the core problem of recommendation drift during long study sessions by prioritizing low-distraction audio and reducing focus-breaking transitions. With the highest RICE score (19.2), it offers the best balance of user impact, reach, and implementation effort.

Trade-off: The feature may reduce music discovery during study sessions, but improved focus continuity is more valuable for exam aspirants than content exploration during these periods

North Star: **Study Session Completion Rate** (% of Study Mode sessions lasting >90 minutes without manual intervention).

Business Impact: By increasing successful focus sessions, the feature is expected to contribute to Spotify's broader North Star of Total Average Monthly Listening Time.

PART 2

AARRR Framework

Product: Spotify

A Acquisition

How new users discover and reach Spotify

KEY METRIC

Key Metric: New User Sign-Ups: Number of users who create a Spotify account after discovering the platform through referrals, marketing campaigns, or shared content.

Link Click-Through Rate (CTR) on shared songs, playlists, and marketing campaigns.

Acquisition Bottleneck : High availability of alternative music platforms and content sources.

Evidence: Users can already listen to music through YouTube, YouTube Music, JioSaavn, Apple Music, Wynk, and local downloads. Since music content is often available across platforms, convincing users to create a Spotify account and switch from existing habits becomes difficult.

What Spotify is doing currently:

Spotify primarily acquires users through song/playlist sharing and Spotify Wrapped. Shared song links create direct discovery opportunities, while Wrapped turns existing users into advocates who promote Spotify across social media.

MY IMPROVEMENT IDEA: MOSCOW + RICE

MUST	SHOULD	COULD	WON'T
Play the full song before the sign-up prompt : earn sign-up after value is felt.	Guest mode: 3 full songs free, then prompt.	Apple ID sign-in support.	Remove the sign-up gate entirely.

RICE for Full song before Signup Prompt =12.8

Reach: 8

Impact: 4

Confidence: 80%

Effort: 2

A Activation

KEY METRIC

Key Metric: % of new users who complete onboarding and play at least one song within their first session.

Or % of users who listen for more than 10 minutes in their first session.

Activation Bottleneck : Too many preference-selection steps before users can actually use the product(listen to music).

Evidence: During onboarding, Spotify asks users to select favourite artists and genres before they can start listening. This delays the user's first meaningful experience with the product.

What Spotify is doing currently: Spotify uses artist and genre selection during onboarding to quickly personalize recommendations. This helps new users receive relevant playlists and a tailored home feed from their very first session.

MY IMPROVEMENT IDEA: MOSCOW + RICE

MUST	SHOULD	COULD	WON'T
Let users skip artist selection and refine preferences later.	Offer rewards like 2 day ad-free experience for completing onboarding	Generate recommendations using the first 5-10 songs played instead of requiring extensive onboarding.	Remove personalization entirely.

Feature	Reach	Impact	Confidence	Effort	RICE Score
Skip Artist Selection & Refine Later	9	5	85%	2	19.1
2-Day Ad-Free Experience	8	4	75%	3	8.0

R Retention

Users returning to Spotify over time

KEY METRIC

Key Metric: D7 & D30 Retention Rate : Percentage of users who return to Spotify 7 and 30 days after sign-up.

Monthly Churn Rate : Percentage of users who become inactive within a month.

Retention Bottleneck : Spotify struggles to create a daily listening habit when users don't have an immediate reason to open the app.

Evidence: I usually open Spotify only when I have a specific song or playlist in mind. On days without a listening goal, I rarely open the app.

What Spotify is doing currently: Spotify improves retention through personalized playlists such as Discover Weekly, Daily Mixes, and Spotify Wrapped, giving users fresh content and reasons to return regularly.

MY IMPROVEMENT IDEA: MOSCOW + RICE

MUST	SHOULD	COULD	WON'T
Daily Personalized Music: Recommend one song or playlist each day based on listening history to create a daily habit.	**Listening Streaks & Rewards:** Reward consecutive listening days with badges, insights, or small Premium perks.	**Mood-Based Quick Play:** Let users choose their mood and instantly receive a personalized playlist.	**Aggressive reminder notifications** that repeatedly prompt users to open the app.

Feature	Reach	Impact	Confidence	Effort	RICE Score
Daily Personalised Music	9	4	80%	2	14.4
Listening Streak Reward	7	3	75%	3	5.3

R Revenue

How Spotify converts free users to Premium

KEY METRIC

Key Metric: Free-to-Premium Conversion Rate: Percentage of active free users who upgrade to Spotify Premium within a given period.

Revenue Bottleneck : Converting engaged free users into paying subscribers. Also they avoid using free trial due to complex autopay feature involved in it.

Evidence: Although ads and limited features create frustration, many users still tolerate these inconveniences instead of upgrading because of the higher subscription cost as perceived by many. But at the same time, I also feel that if the users gets in habit of using premium feature even by a free trail, he might be unable to re-switch to free mode.

What Spotify is doing currently: Spotify promotes Premium through periodic free trials, student discounts, family and duo plans, and in-app upsell messages triggered after ads or feature limitations.

MY IMPROVEMENT IDEA: MOSCOW + RICE

MUST	SHOULD	COULD	WON'T
One-tap free trail availing feature; bypassing the complex setting up autopay option.	**Single-day Premium pass (₹4–5)** shown right after an ad ends Removes the real commitment barrier	**Loyalty Rewards** : Earn points through consistent listening and redeem them for discount coupons on Premium..	Remove ads completely for free-tier users.

Feature	Reach	Impact	Confidence	Effort	RICE Score
One-Tap Free Trial Activation	9	5	85%	2	19.2
Single-Day Premium Pass (₹4–5)	7	4	75%	3	7

R Referral

How existing users bring in new users

KEY METRIC

Key Metric: Percentage of monthly active users who share at least one Spotify song, playlist, or Wrapped card externally.

Or Referral Sign-up Rate from shared Spotify links**.**

Referral Bottleneck : Spotify lacks consistent, share-worthy moments throughout the year.

Evidence: I do share Spotify Wrapped at year-end, but rarely share anything during the rest of the year. Song and playlist links are mostly shared privately and generate less organic visibility.

What Spotify is doing currently: Spotify encourages referrals through Spotify Wrapped, playlist/song sharing, Blend playlists, and social media integrations, turning users into brand advocates.

MY IMPROVEMENT IDEA: MOSCOW + RICE

MUST	SHOULD	COULD	WON'T
Monthly Wrapped : A monthly shareable card highlighting top songs, artists, and listening insights	**Premium Feature Reward** for Successful Referrals	**Collaborative Listening Rooms:** Shared listening sessions with friends that generate shareable highlights**.**	Remove ads completely for free-tier users.

Feature	Reach	Impact	Confidence	Effort	RICE Score
Monthly Wrapped	8	5	85%	3	11.3
Referral Rewards	7	4	80%	3	7.5

PART 3

HEART Framework

Feature: Spotify Wrapped: You are the PM evaluating whether this feature is successful.

D1 Define the Goal

PRIMARY USER OBJECTIVE

See a year of listening reflected back as a personal identity story, and share it in a way that feels like self-expression.

PRIMARY BUSINESS OBJECTIVE

(1) Organic acquisition: every share card is a Spotify impression shown to a non-user.

(2) Premium retention: listening history becomes a personal asset users don't want to lose by leaving.

D2 HEART Framework (GSM Approach)

Dimension	Goal	Signal	Metric
H - Happiness	User feels Wrapped accurately reflects their identity	Positive reactions and voluntary sharing	% of Wrapped openers who reach the final slide (completion rate).
E - Engagement	Users spend meaningful time inside Wrapped	Swipes all slides; re-opens Wrapped; taps into a linked playlist	Average Wrapped slides viewed per user
A - Adoption	All eligible users open Wrapped quickly after launch	Taps Wrapped entry point from home screen or push notification	% of users who open Wrapped within 72 hrs of launch
R - Retention	Wrapped brings lapsed users back	Inactive user opens app in the year end for Wrapped	% of lapsed users (no session Oct-Nov) who open app in December; DAU lift
T - Task Success	User shares at least one card externally	Taps share and completes share to Instagram Stories / WhatsApp	% of Wrapped completers who share externally within 48 hrs of first open

D3 The Most Important HEART Metric

Chosen Metric: **% of Wrapped completers who share** at least one card externally within 48 hours of first open (Task Success)

Why this beats the other four: Our business objective for Wrapped is explicitly built around sharing, "every share card is a Spotify impression shown to a non-user." And our user objective is "share that identity publicly." So this one metric is the single point where the user job and the business job are the same action, a user shares because it satisfies their own goal, and that exact action is what creates the business value. None of the other four have that property:

Adoption (opens within 72hrs) and **Engagement** (slides viewed) are necessary precursors to sharing, not the payoff itself.

Happiness (completion rate) measures private satisfaction, not the public act the business actually needs.

Retention (lapsed users returning) is a nice side benefit of launch timing, not what Wrapped is built to do.

Decision Logic

If Share Rate increases:

- Try bringing a monthly/quarterly Wrapped.
- Cross-promote playlists, podcasts, and Premium in the share flow.

If Share Rate decreases:

Check for:

- Weak personalization
- Repetitive content
- Sharing UX friction

D4 Failure Analysis

Scenario: External share rate drops 40% week-over-week after Wrapped launches.

Hypothesis	Data to Confirm	First Action
Sharing UX broke - button harder to find or export bug causing completions without successful shares.	Share-click vs. share-success rate by device/OS/app version; crash and error logs	Pull share-flow error logs by platform within the hour and fix the UX issue(if present)
Card designs feel **less personal this year**, users complete but don't feel it represents them enough to post publicly.	Compare completion rate vs. share rate: if completion is stable but shares dropped, the cards are the problem.	A/B test current card visuals against last year's designs on 5% of users immediately.
A competitor (Apple Music Replay, YouTube Recap) launched a compelling rival format at the same time.	Monitor competitor recap share volume on Instagram/TikTok; check if our drop is platform-specific.	Brief marketing team on creator partnerships to amplify Wrapped organic content.

FIRST THREE ACTIONS IN ORDER:

1. Check and fix Share-flow error or export bug.
2. Compare completion rate vs Share rate
3. Review app reviews, social comments, and support feedback.

D5 The Tradeoff Question

> Scenario: Adoption +50% , External share rate −20% -> Is Wrapped successful?

NOT SUCCESSFUL

Reasoning:

- For Wrapped specifically, Retention is what proves the feature is doing its unique job: pulling lapsed users back, not just getting opened.
- A 50% Adoption rise with a 20% Retention drop suggests the new opens are mostly from already-active users.
- That means Wrapped generated attention but not lasting value ,broader reach with a shallower payoff, not able to meet the feature's actual goal.

Next Steps:

- Segment the Adoption increase by prior activity status (lapsed vs. active) to deciding where the actual problem is.

- Identify the retention-drop causes directly, check whether the issue is who's opening Wrapped, or what happens right after.
- Add post-Wrapped experiences:
    1. Personalized playlists generated from Wrapped data
    2. Wrapped-based recommendations carried into the regular home screen